

The Fragility of Liquidity: Asset Management Runs, Fire-Sale Contagion, and Macro-prudential Intervention in Borsa Istanbul

Market Microstructure, TEFAS Redemption Mismatches, and Regulatory Trade-offs

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Introduction

In September 2026, Borsa Istanbul experienced an abrupt dislocation that challenged the prevailing optimism across Turkish capital markets. Asset management companies and open-ended funds, which had long enjoyed substantial retail inflows, suddenly found themselves at the epicenter of a severe liquidity shock. The structural vulnerability at the heart of this disruption was elementary yet highly impactful: offering investors instantaneous redemption liquidity while holding portfolios that lacked commensurate secondary-market depth. When market liquidity tightens, the very feedback loop that previously propelled fund valuations upward can operate in reverse, potentially dragging the broader financial ecosystem down with it.

The Anatomy of the Disruption

Certain funds pursued strategies that exposed an acute asymmetry between fund size and market liquidity. While moving index heavyweights requires substantial trading volume, low-float equities could reach upper circuit limits with relatively less capital. The resulting price appreciation may have been amplified by cross-fund transactions, a pattern that is consistent with simulated secondary-market liquidity. Rather than being driven solely by organic earnings growth, the reported performance could indicate a heavy reliance on sustained fund-level purchasing. In an environment where retail savings were efficiently routed through distribution platforms like TEFAS, short-term returns of 100% to 200% triggered significant search-for-yield behavior. Each wave of incoming retail capital necessitated further purchasing, thus establishing a dependency on persistent inflows.

Liquidity Mismatch and the Redemption Feedback Loop

The core mechanism of the disruption can be traced to a fundamental liquidity mismatch within the asset management ecosystem. The sequence of events typically begins when investors submit redemption requests through distribution networks such as the TEFAS platform. Under the Capital Markets Board of Turkey (SPK) regulations—specifically the Communiqué on Principles Regarding Investment Funds (III-52.1)—equity-intensive open-ended funds are generally obligated to fulfill these cash redemption liabilities within a T+1 or T+2 settlement window.

To meet these strict statutory deadlines, fund managers must liquidate portfolio holdings. However, a structural vulnerability is exposed when a fund's portfolio is heavily concentrated in equities lacking commensurate secondary-market depth. Faced with immediate cash obligations but holding illiquid assets, managers are often compelled to sell their most liquid positions—typically BIST 30 index heavyweights—at fire-sale prices. This dynamic suggests that fulfilling large-scale redemptions can become mathematically unfeasible without causing severe price concessions. This vulnerability was practically demonstrated in September 2026; as highlighted in the SPK's public announcement on September 28, 2026, the inability of certain funds to declare prices and fulfill pending TEFAS redemption instructions ultimately necessitated regulatory intervention and the liquidation of the affected funds.

Margin Spirals: The Transmission Mechanism

The fire-sales initiated by funds to generate cash likely acted as the primary catalyst for the broader price declines across the BIST. This initial downward pressure on asset prices eroded the collateral values for investors holding margined equity positions or leveraged contracts in the derivatives market (VIOP). The severity of this collateral erosion is supported by market data; for instance, the record margin call volumes reaching up to 1.14 billion TL in early September 2026 suggests a widespread liquidity squeeze among leveraged participants. When investors failed to meet these escalating margin requirements with adequate cash, brokerage algorithms automatically initiated liquidations. This forced selling appears to have created a self-reinforcing margin spiral, where automatic liquidations further depressed prices, thereby triggering additional margin calls.

Regulatory Intervention and The Moral Hazard Dilemma

As the liquidity squeeze intensified, regulatory authorities were compelled to implement decisive macro-prudential interventions to stabilize the market. The scope and specifics of these measures are documented directly in primary regulatory disclosures. According to the Capital Markets Board (SPK) Weekly Bulletins numbered 2026/60 and 2026/61, published on September 17, 2026, transactions for 131 specific investment funds were officially suspended on the TEFAS platform, and these entities were subsequently placed into liquidation. Furthermore, these regulatory decrees explicitly authorized Ziraat Bankası and İş Bankası to coordinate and execute the liquidation processes. By stepping in to halt the continuous redemption requests, the SPK intervention aimed to short-circuit the fire-sale contagion.

While the SPK's swift intervention and the reduction of margin requirements were critical in stabilizing the market in the short term, such macro-prudential actions introduce a nuanced moral hazard dilemma. If market participants perceive these emergency measures as an implicit permanent guarantee against severe liquidity shocks, it may inadvertently encourage excessive risk-taking in the future. Specifically, asset managers might continue to offer daily liquidity against illiquid assets, assuming regulatory bodies will always step in to halt trading or absorb losses during a crisis. Therefore, the long-term effectiveness of these interventions depends heavily on coupling them with stricter ex-post regulatory oversight.

Conclusion and Policy Recommendations

To mitigate the structural vulnerabilities exposed during the September 2026 disruption, regulatory frameworks must directly address the mechanics of the liquidity mismatch and fund concentration. First, implementing mandatory liquidity buffers would require funds to hold a minimum percentage of highly liquid assets or cash equivalents. This directly targets the redemption feedback loop, ensuring funds can meet initial investor outflows without immediately resorting to fire-sales. Second, enforcing stricter concentration limits on low-float equities would prevent funds from acquiring oversized positions in shallow markets, directly neutralizing the potentially artificial price appreciation driven by cross-fund purchasing. Finally, introducing redemption notice periods (e.g., T+7 or T+15) for funds holding less liquid assets would align the funds' liability structures with their portfolio liquidity, providing managers sufficient time to orderly liquidate positions without triggering margin spirals. Implementing these targeted policies will be essential to ensure the long-term stability and resilience of the Turkish capital markets.

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